

your **goals** (which include your financial as well as personal goals). The aim of this tool is to compute the required rate of return that your portfolio (or your assets) needs to generate so that your capital at all times is enough to meet your goals. Let us now look at each of the three factors one by one while we take you through an illustrative financial planning exercise for Mr Kumar, a thirty-year-old married man with two children. This exercise has been carried out using the Ambit Financial Planning tool highlighted above, but if you want, you can do it on an Excel sheet on your own.

Exhibit 79: Mr Kumar's biological details:

	Age	Year
Current Age	30	2017
Expected Age of Retirement	60	2047
Life Expectancy	85	2072

Source: Ambit Financial Planning Tool

The expected age of retirement and life expectancy helps the tool predict the cash flows, i.e. the income and expenses for Mr Kumar for the rest of his life. Our income usually stops at retirement whereas expenses continue till we die.

Step 1: Key in your cash flows

The tool asks some basic questions about your annual cash flows. The model first considers the input for income earned during the year. It is important to provide the post-tax income rather than the 'cost to company' or the pre-tax income. An equally important input is the expected growth for the various items under your income. This ensures that the model accommodates the future earning power of an individual.

For Mr Kumar, who earns Rs 36 lakh per annum (post-tax), the cash flows associated with his income are as follows: